



PROFITABLE GROWTH IN  
UNCERTAIN TIMES



**Q3 FY14 – Investor Presentation**  
February 10, 2014



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# I. RPG Group Overview



# RPG Group History

- RPG Enterprises established in 1979 by Mr RP Goenka
- In 80s RPG group, acquired various companies such as CEAT Tyres (1981) , KEC (1982); Searle India, now RPG Life Sciences (1983); Gramophone Company of India Ltd, now Saregama India (1986); and finally CESC, Harrisons Malayalam, Spencer & Co. and ICIM, now Zensar Technologies, all in 1989
- Ownership division in 2010, resulting in two separate groups : RPG Enterprises & RP-Sanjiv Goenka Group

## RPG Enterprises



## RP-Sanjiv Goenka Group



Soul of India





# RPG Group Today

\$3 bn Global & diversified Indian business group

**CEAT**



TYRE

**KEC**



INFRASTRUCTURE

Presence in key  
sectors of economy

**ZenSar**  
TECHNOLOGIES



IT



SPECIALITY

PHARMA



RPG LIFE SCIENCES LIMITED

PLANTATIONS



HARRISON'S MALAYALAM LIMITED

POWER / TELECOM  
ANCILLARY



# RPG Group Overview

- Established in 1979, is one of India's leading business group with a turnover of Rs. 17,000cr and 20,000+ employees
  - About 45% of turnover comes from global businesses
  - Operations spread across the globe in over 100 countries
- Group revenue doubled in last 4 years from Rs 8000cr to Rs 17000cr
  - Revenue grew by 20% while PAT grew by 17% CAGR in the last 4 years
- Invested over Rs 1,100cr in capacity expansion in last 3 years & Rs 800cr in Strategic Acquisitions (Akibia & SAE Towers)

# Governance Philosophy & Structure

- Growth driven by key values and ethos:
  - Customer Sovereignty
  - Innovation and Entrepreneurship
  - Transparency and Integrity
  - People Orientation
- Independent professional management running each business
- Promoter oversight of businesses through Management Board
  - Clearly defined strategic vision for each business
  - All investments aligned to core strategic focus areas
- No Cross holdings, unrelated business investments
- Consistent dividend payout track record

# Corporate Social Responsibility



## Goals

- Engaging with and contributing to our communities around – Educate & Empower

- Being an eco-efficient company that believes in sustainable growth and makes it a part of its DNA

- Actively participate in the nation's effort to bridge the huge shortfall of skilled (technical) manpower

## Initiatives

- School/community development program around all our 15 plants & offices
- Set-up company-wide volunteering programs

- All plants to work towards Zero net consumption of natural resources
- Establish sustainability communications and reporting on performance

- Adopt Govt. ITIs to deliver relevant and quality courses
- Initiate technical Education at Govt schools in select States where RPG Plants are situated.

## Approach

- Identify and engage with underprivileged schools/communities for English and Livelihood programmes

- Sensitise and motivate all employees to go Green and incorporate it into the Group strategy.

- Revamp the adopted ITIs & Govt technical High Schools to be Industry-oriented. Advocacy in govt circles to help realise potential.

# CSR Programs & Strategy



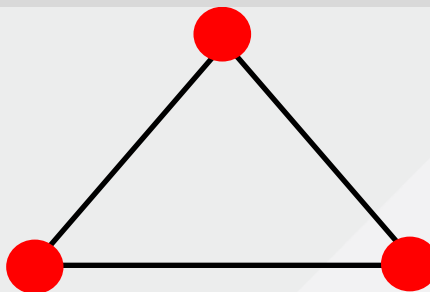
### Saksham Program

- Adopted 11 Govt Technical Schools for all-round improvement
- 3850 students engaged for this 6 year program in Maharashtra & Gujarat
- One year apprenticeship at one of our factories.
- Under Govt PPP Scheme – we have adopted two ITIs.



### Go Green

- 20% Water & 20% Power reduction
- Zero discharge



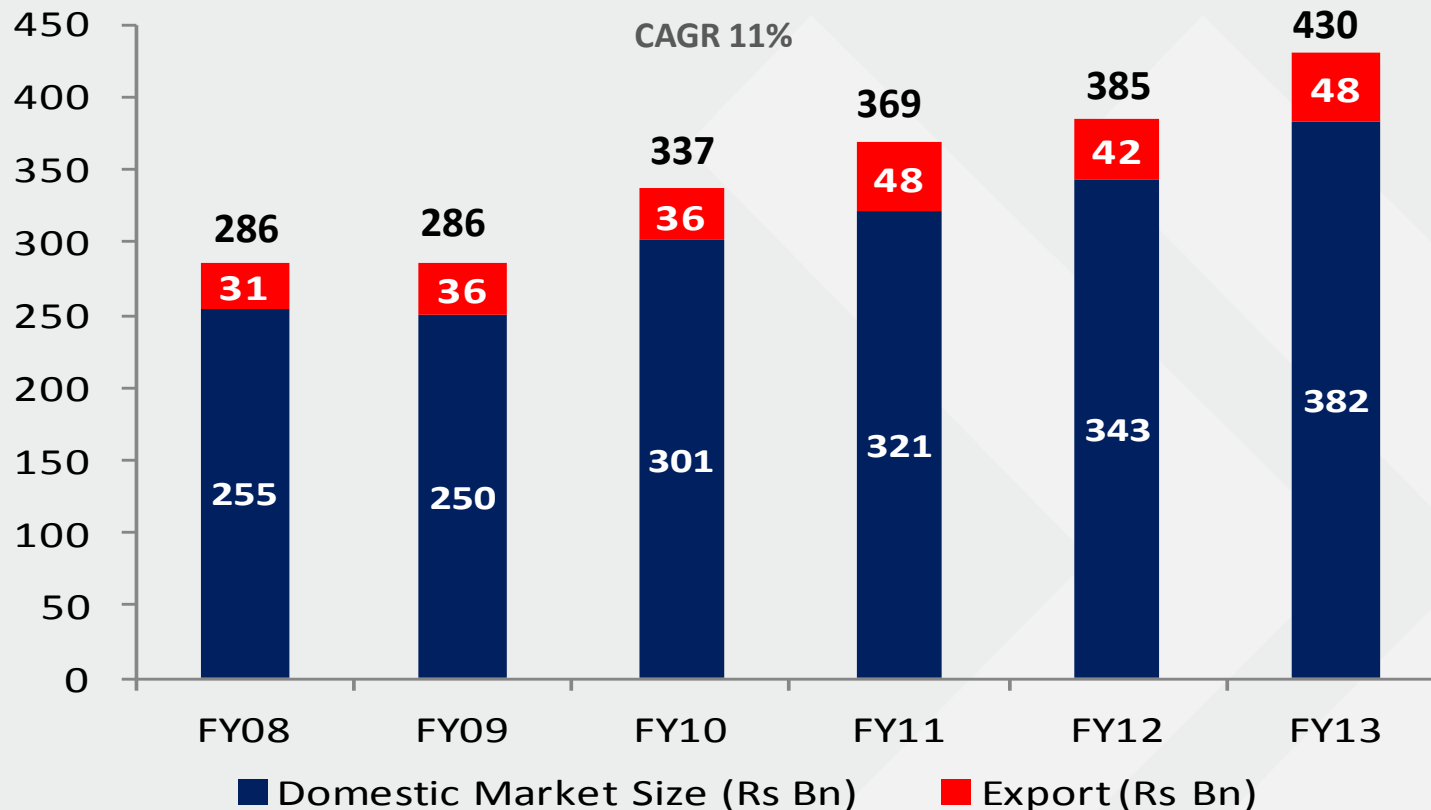
### Akshar program

- English taught at Govt Schools Class 4 onwards to class 9.
- 8500 students engaged in 10 cities in 80 schools



## II. Tyre Industry Overview

# Indian Tyre Industry Growth



- Consistent growth over last 6 years
- Less cyclical compared to OEMs sales volume

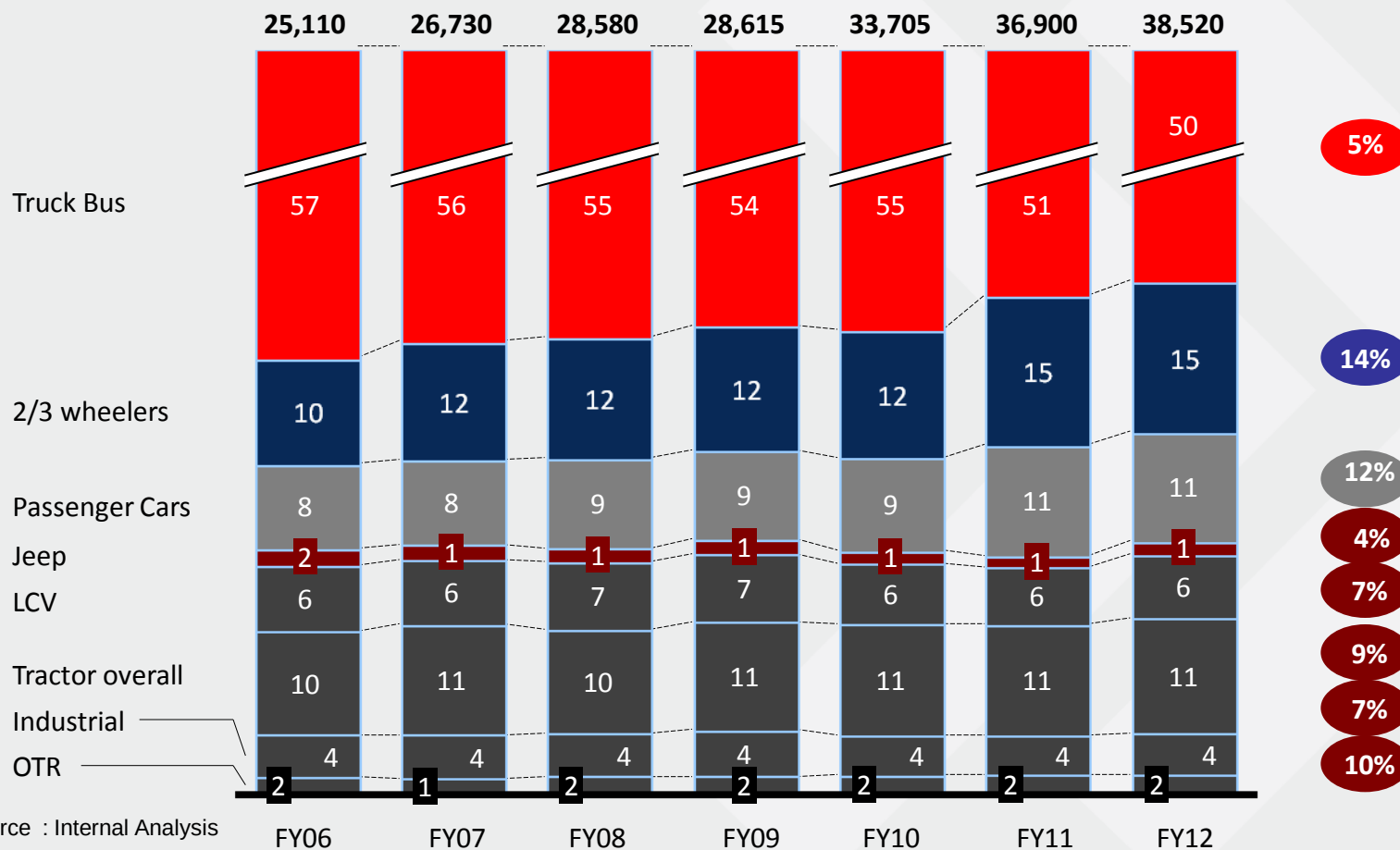
Source : ATMA, CRISIL



# Industry product mix is slowly shifting towards passenger segments

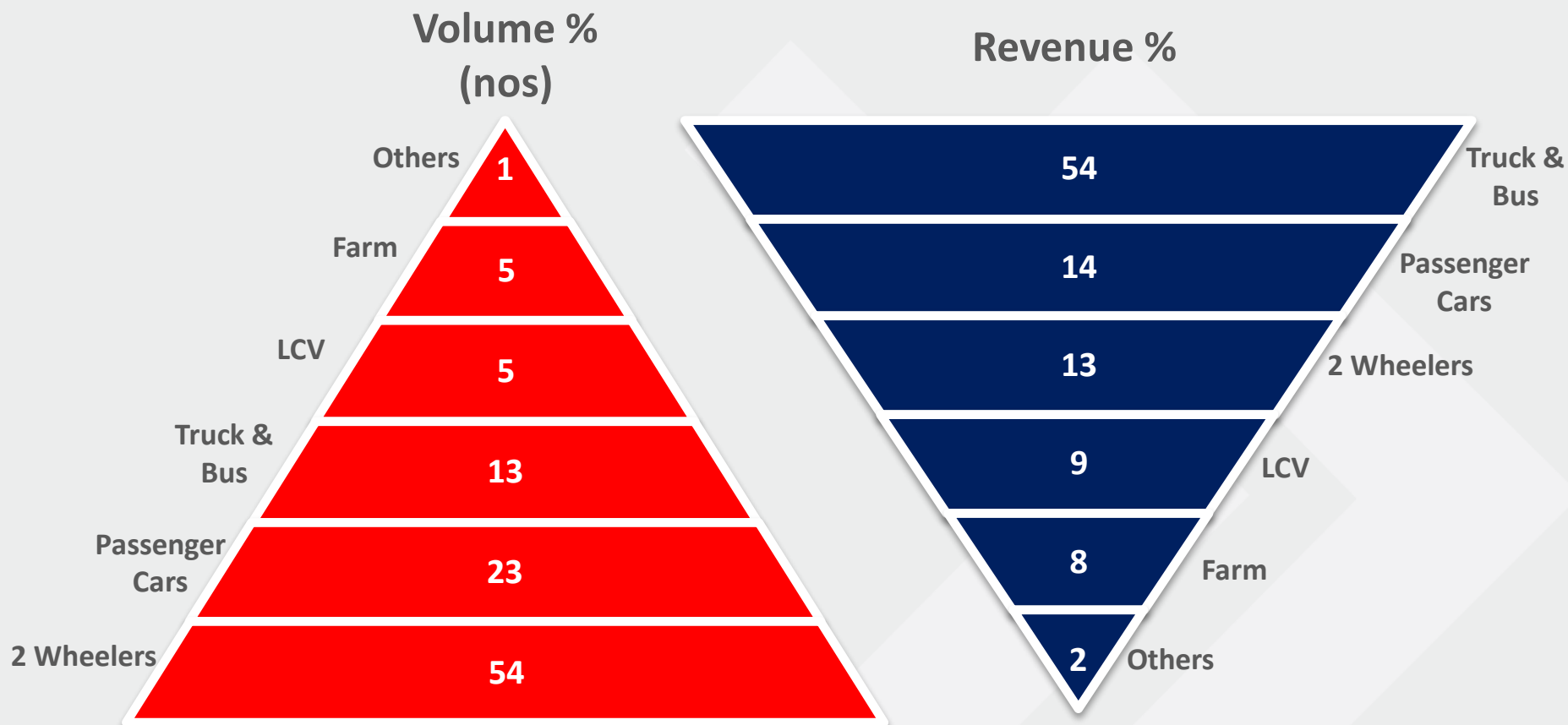
Sales growth and split of tyres – All India  
` crore, %

Historical  
CAGR





# Industry: Segmental volume and revenue contribution

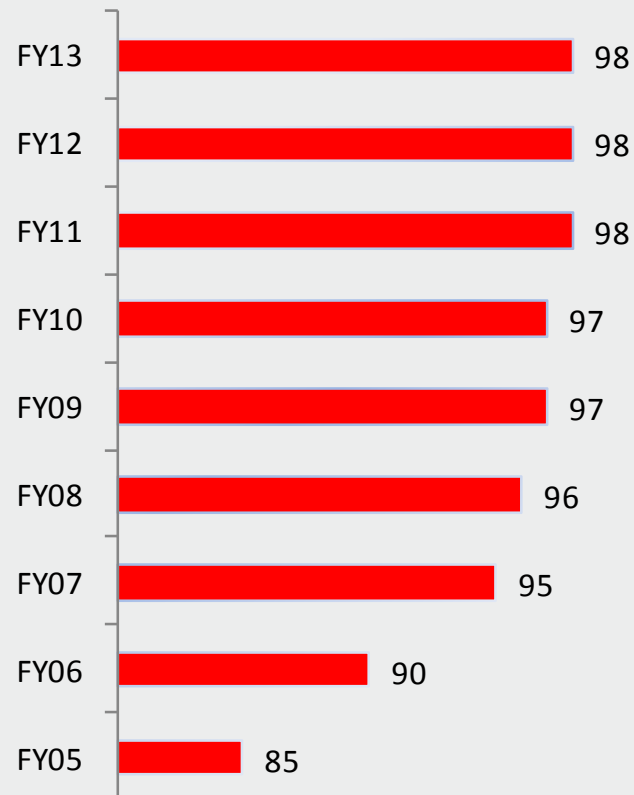


Over 50% of the revenue contributed by Commercial segment

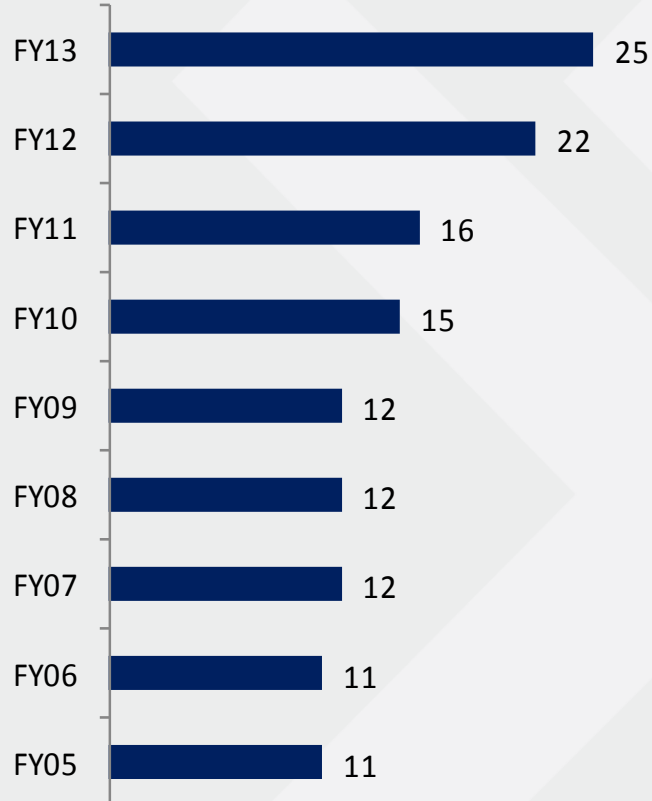
Source : ATMA, Internal Analysis

# Radialisation Trend in India

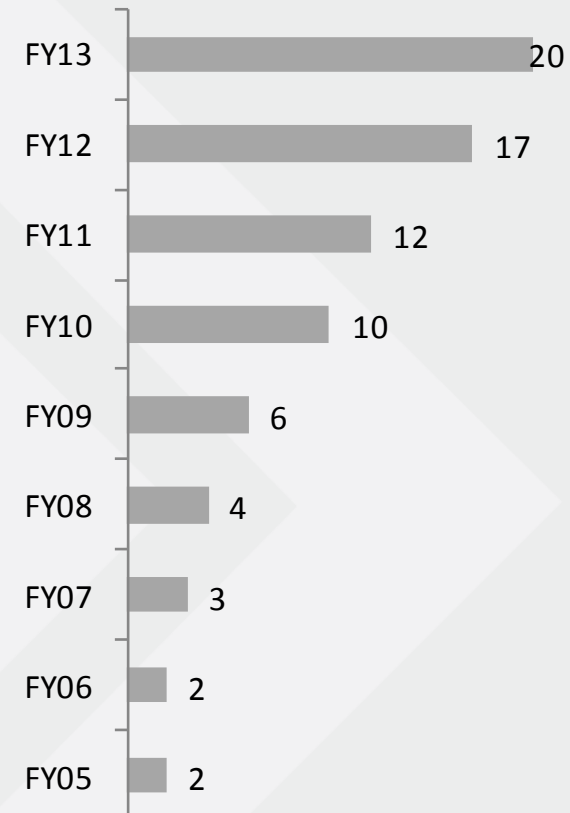
## Passenger Cars



## LCV



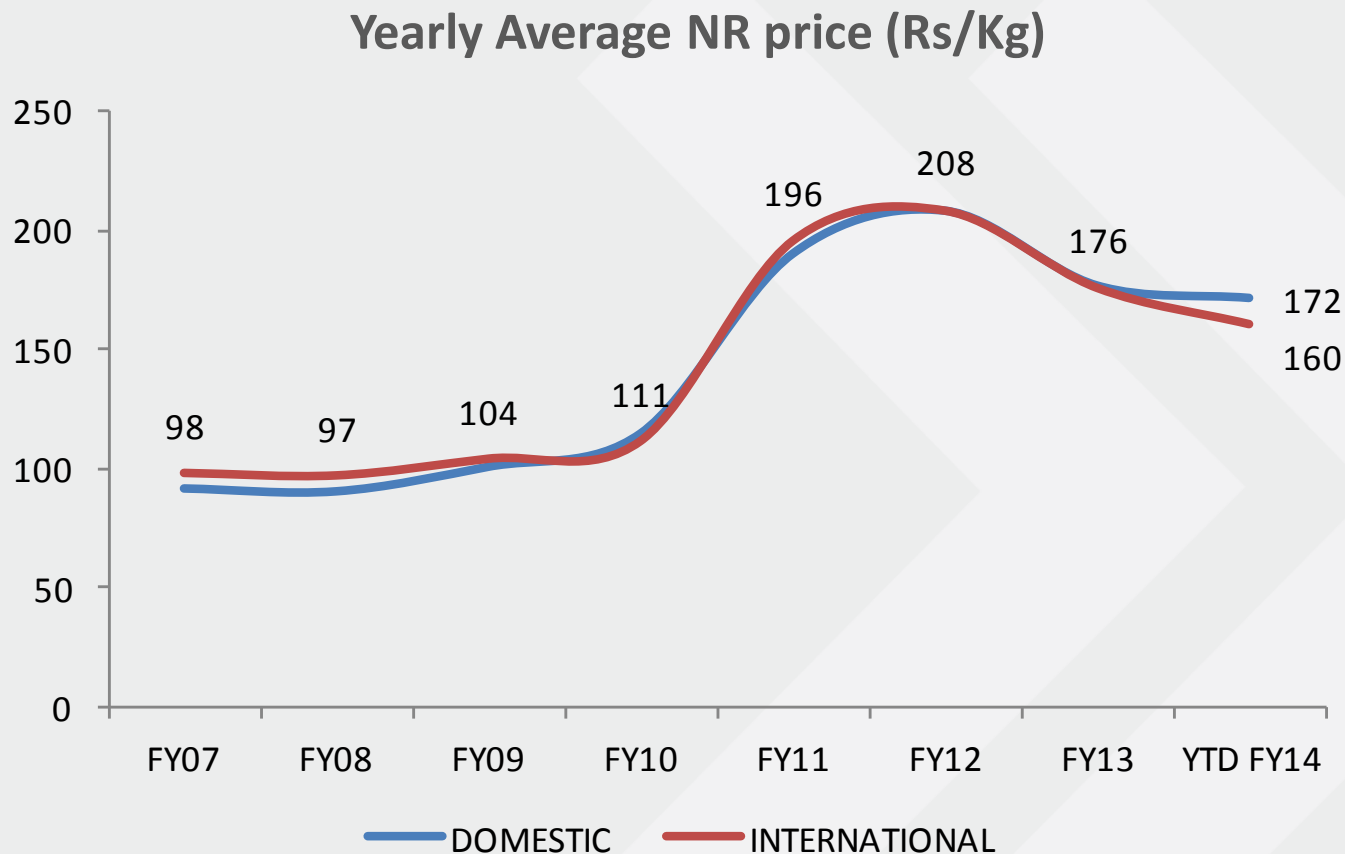
## Truck & Bus



**Truck and Bus Radialisation to reach 40% in 3-4 years**

Source : ATMA, Internal Analysis

## >> Natural Rubber price trend



Natural Rubber prices have followed a stable trend, except in FY11

Source : Rubber Board

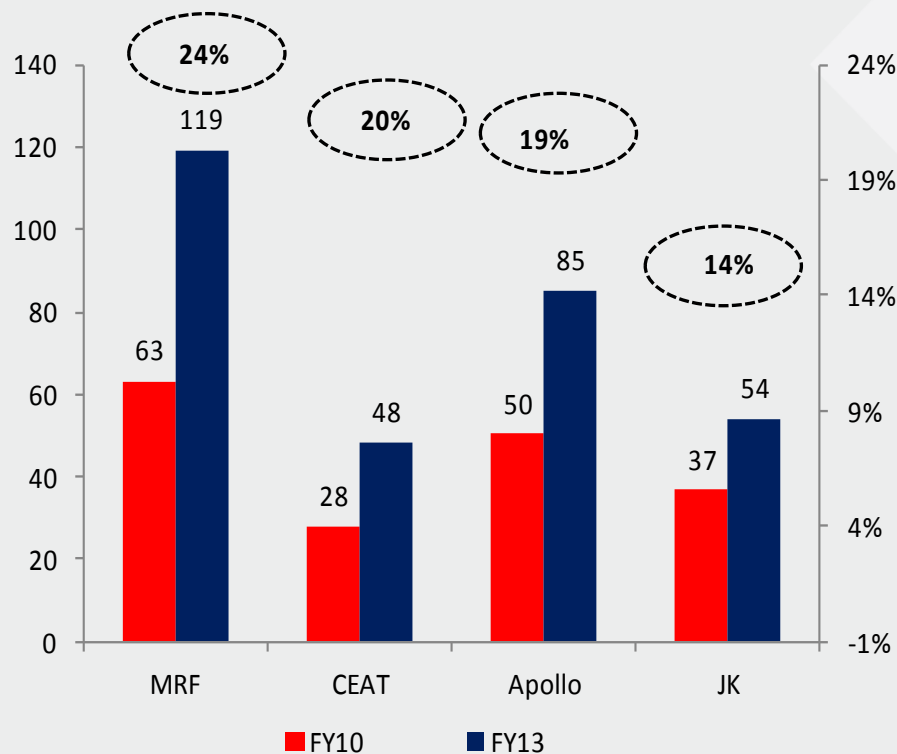


## III. Peer Analysis

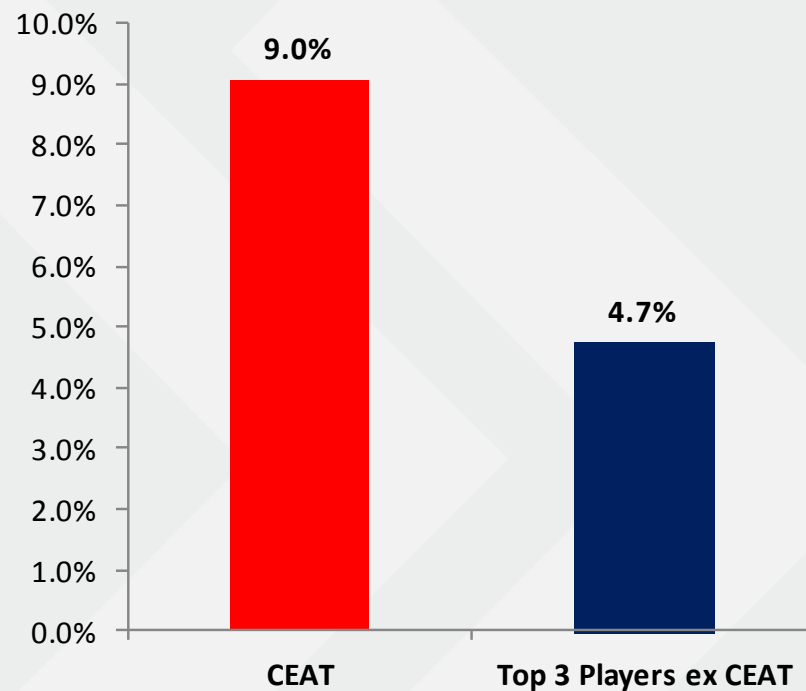


# Key Players in the Indian Tyre Industry

Net Sales (Rs Bn) / 3 yr CAGR %



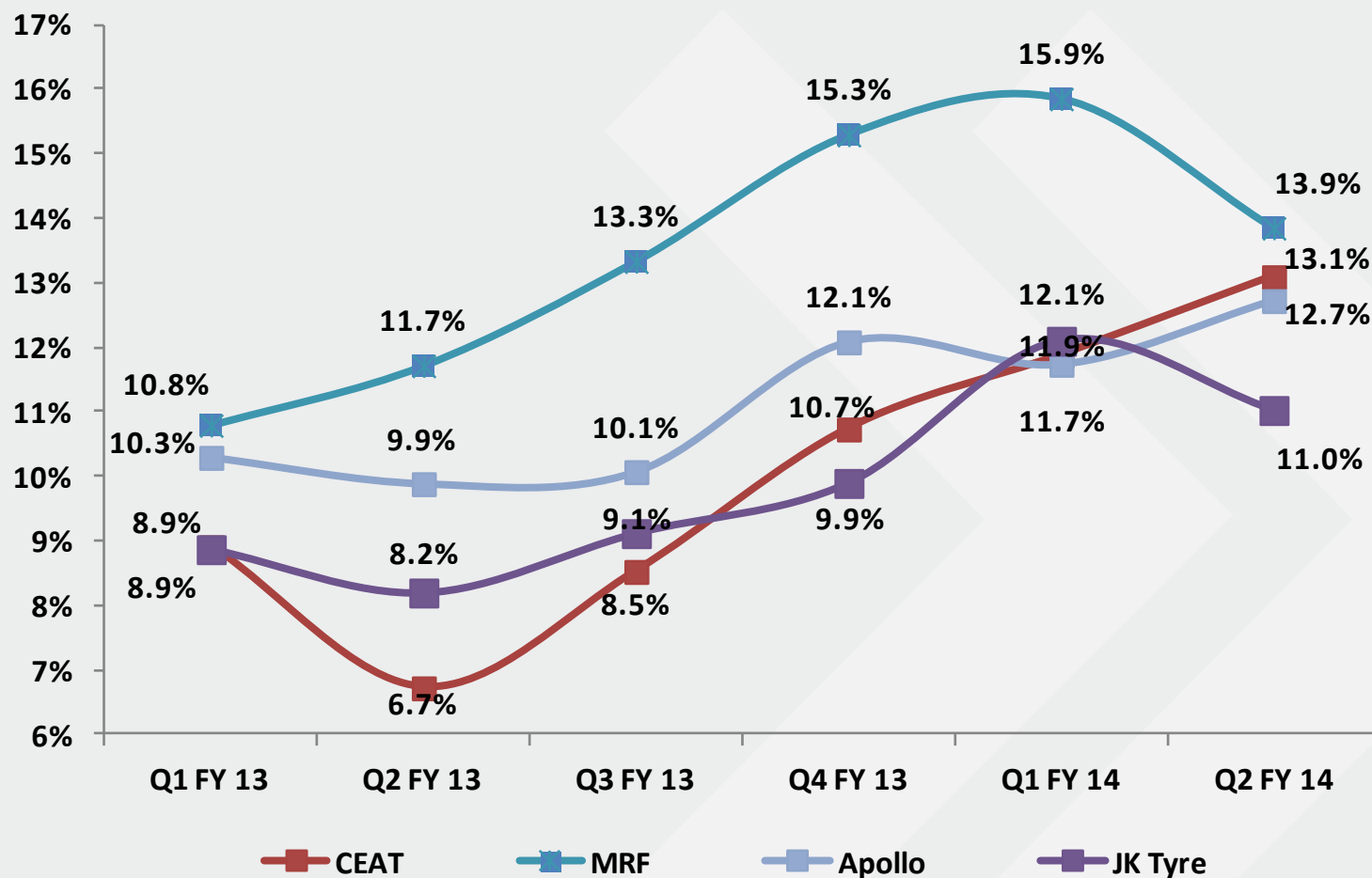
FY 13 YoY Sales growth



**CEAT 2<sup>nd</sup> fastest growing company in last 3 years;  
Fastest growing in FY13**



## EBITDA Margin Comparison : Last 6 Quarters



- Focussed strategy yielding in improved margins compared to peers



## IV. CEAT Overview & Strategic drivers

## CEAT Limited : Overview

India's leading tyre company with over **50** yrs of presence

**#No 1** player in Sri Lanka in terms of market share

Leading Exporter with exports to over **110+** countries

**4600+** Employees

Distribution Network : **3500+** dealers, **300+** exclusive CEAT franchisees

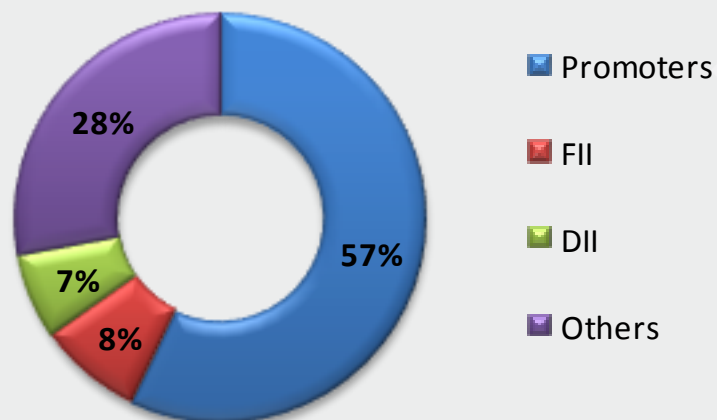
**3** Manufacturing plants - Mumbai, Nasik & Halol

**10** Million+ Tyres produced annually



# CEAT : Equity Share Information

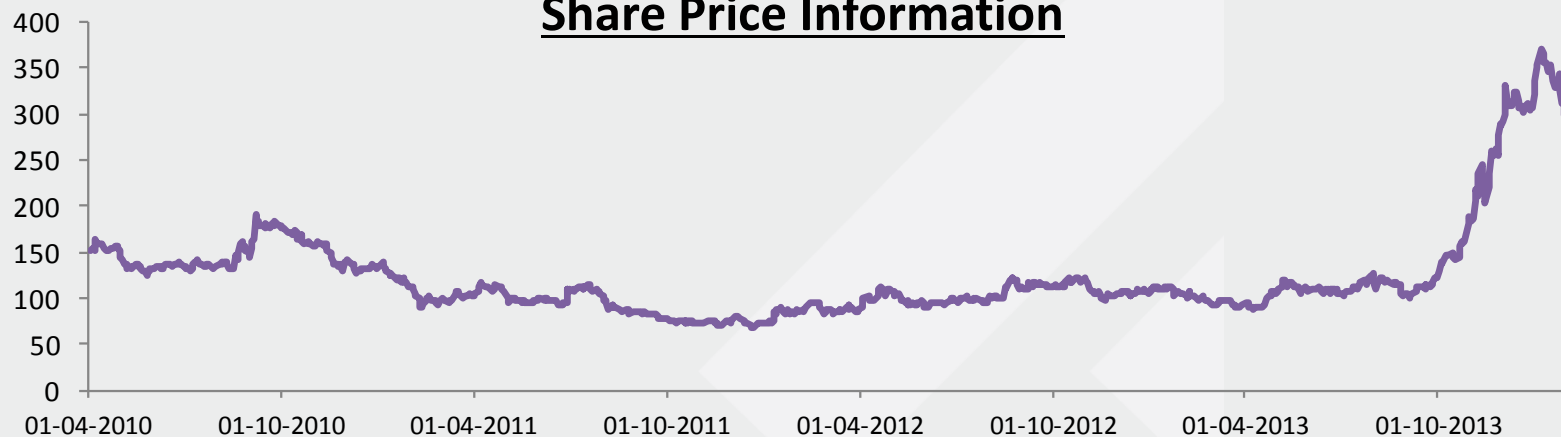
## Shareholding Pattern



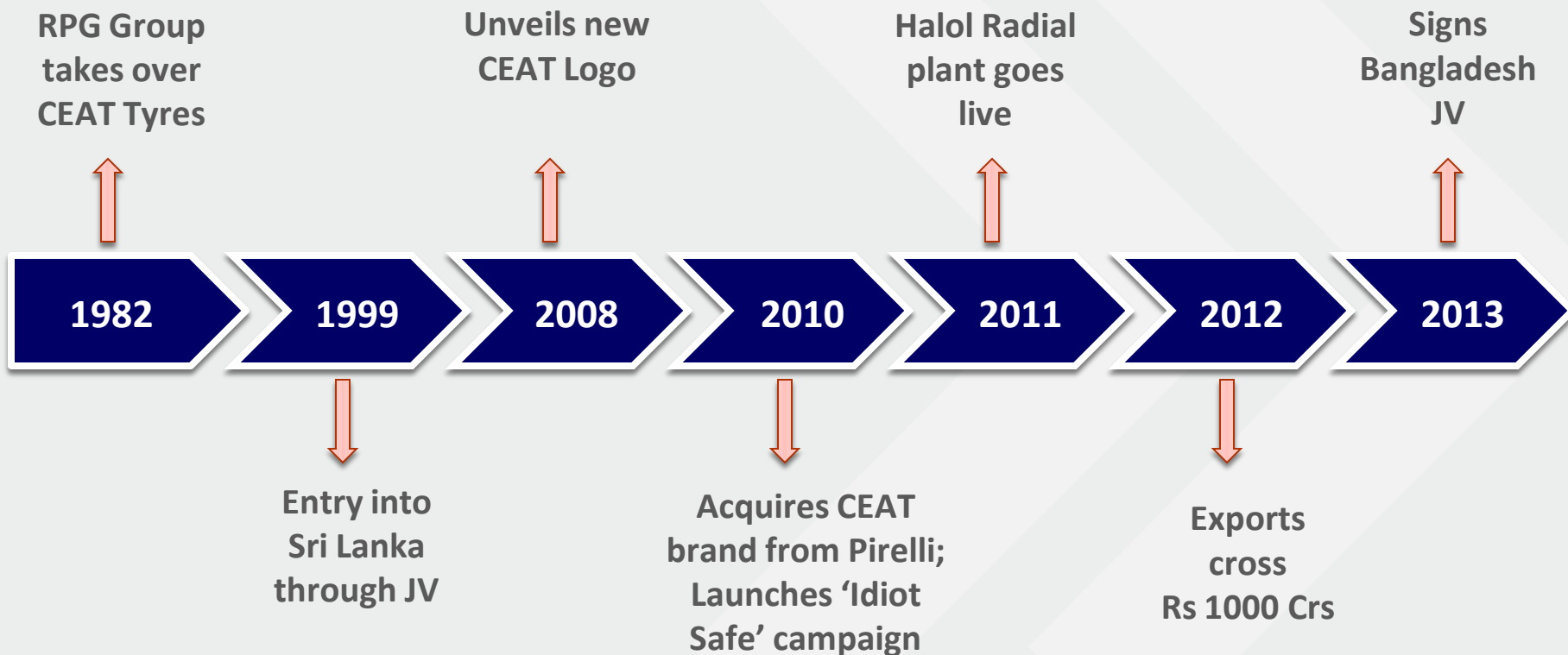
## Market Information

- Market Price (Feb 7th): Rs. 301.10/share
- Face Value : Rs 10 per share
- Market Cap (Feb 7th): Rs. 1,081 Cr
- Net Worth: Rs. 1,019 Cr

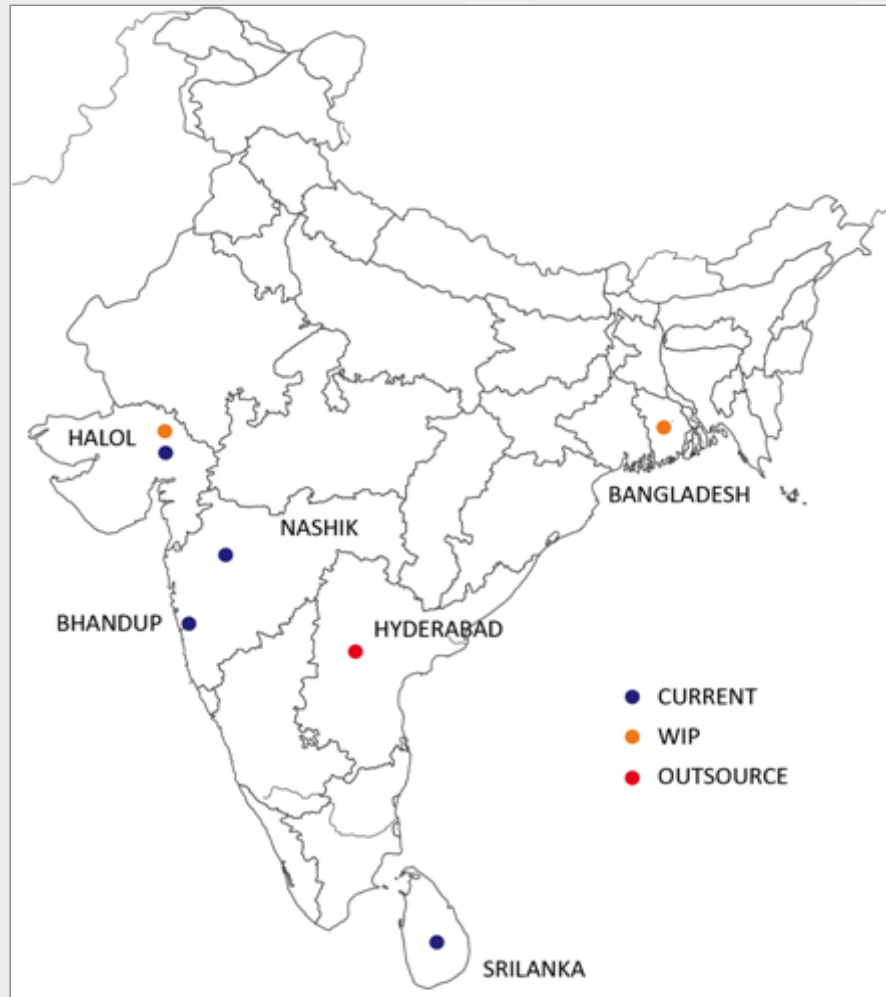
## Share Price Information



# Key Milestones



# CEAT : Plant Locations

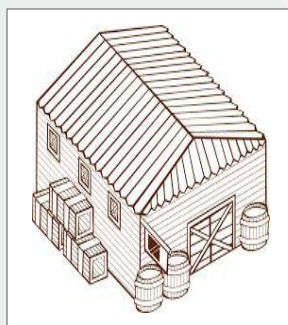
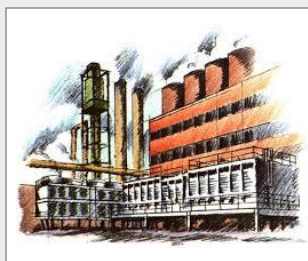


# CEAT : Distribution Process Flow

Factory  
3 Owned +1 Outsourced

22 Warehouses /  
19 Delivery Centres

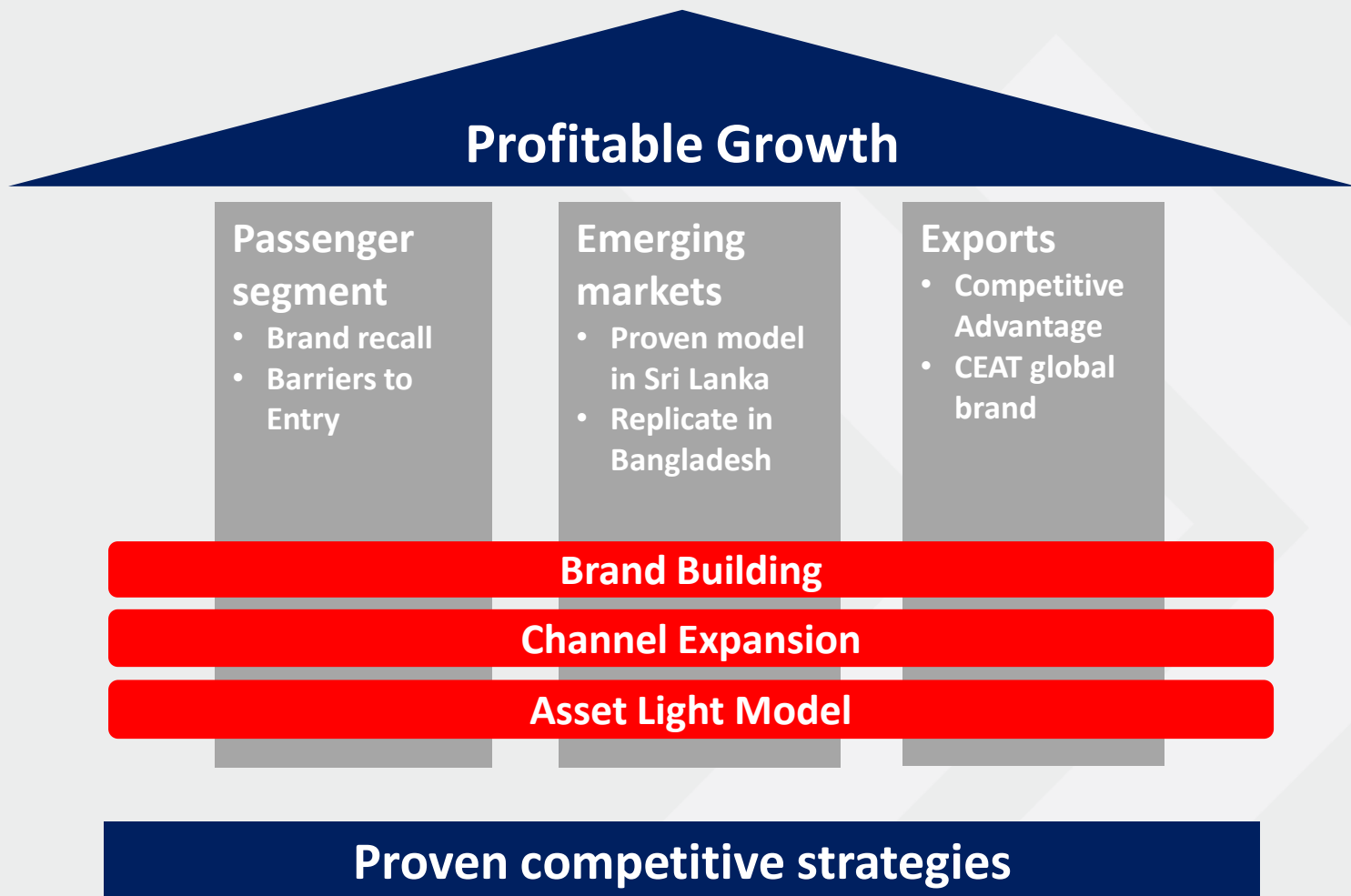
130 + C&F Agents



**Replacement**  
HUB – 223, Shoppe – 97, Distributors –  
268, Dealers – 2964



# CEAT Strategic Drivers



# >> Brand Investment

“Idiot Safe”  
campaign (for  
Bike Tyres)



Association with  
KBC – A popular TV  
game show

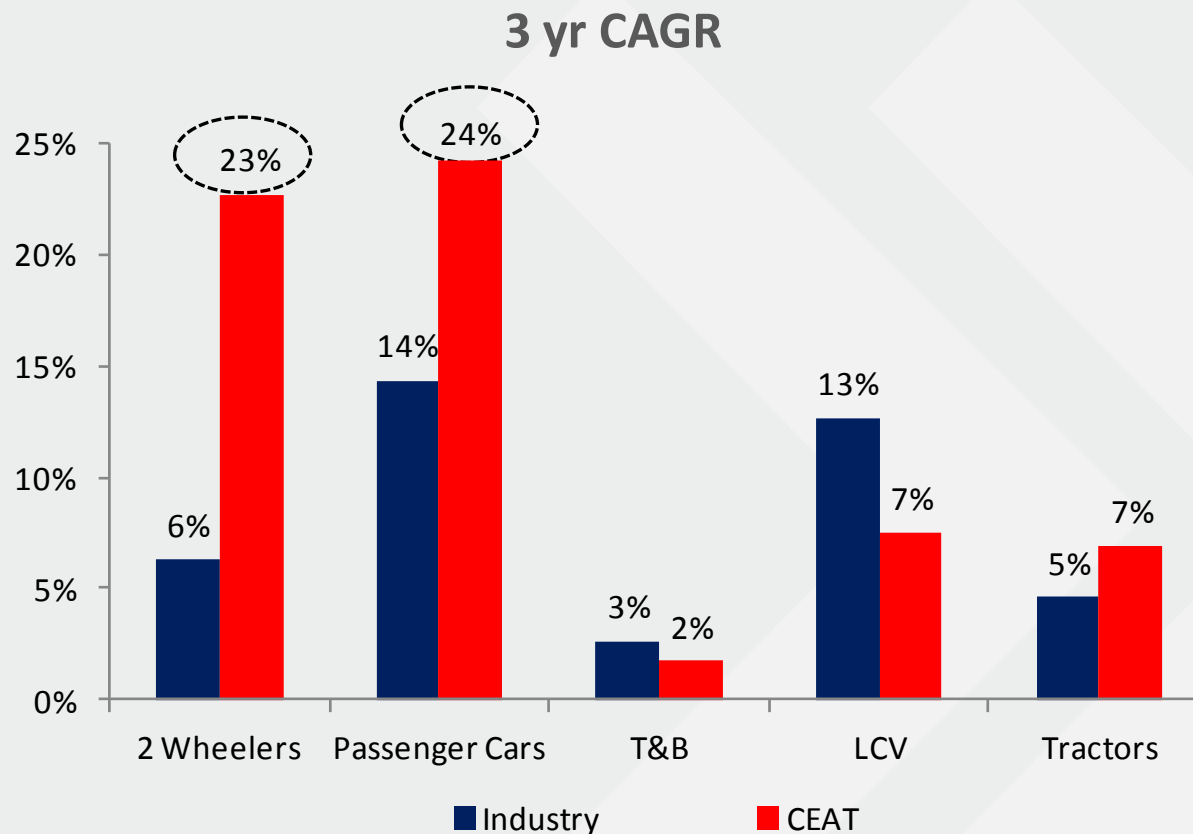
“Superior Grip”  
campaign (for UVR  
Tyres)



“Monsoon Smart”  
campaign (For All  
Season Bike Tyre  
with “Superior Wet  
Grip”)



## >> CEAT growing faster in chosen segments



Higher than Industry growth in passenger segments; gaining market share

# CEAT : OE Presence

## Passenger Cars / UV

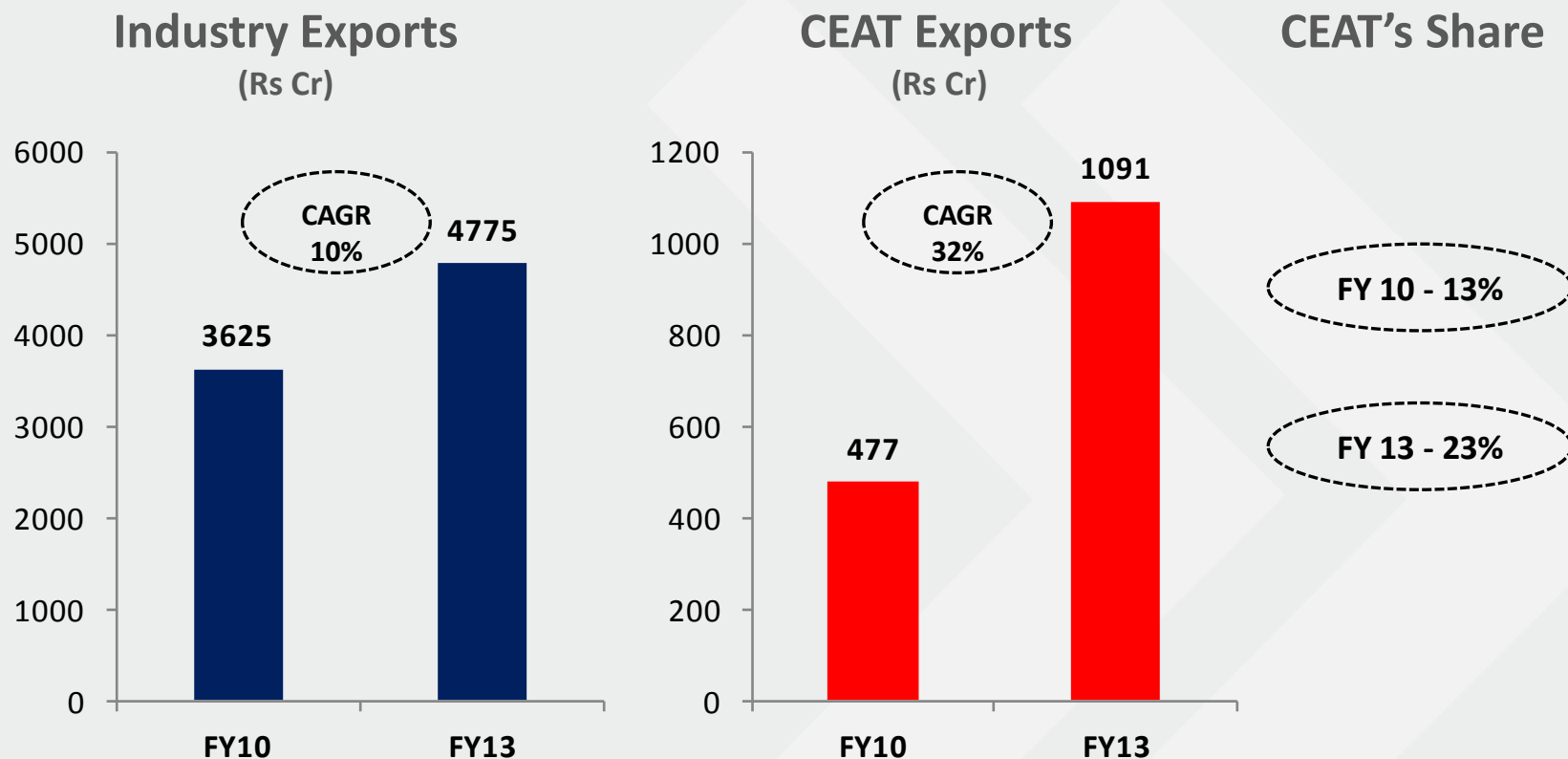


## Motorcycles





## Achieved Exports Leadership in last 3 years

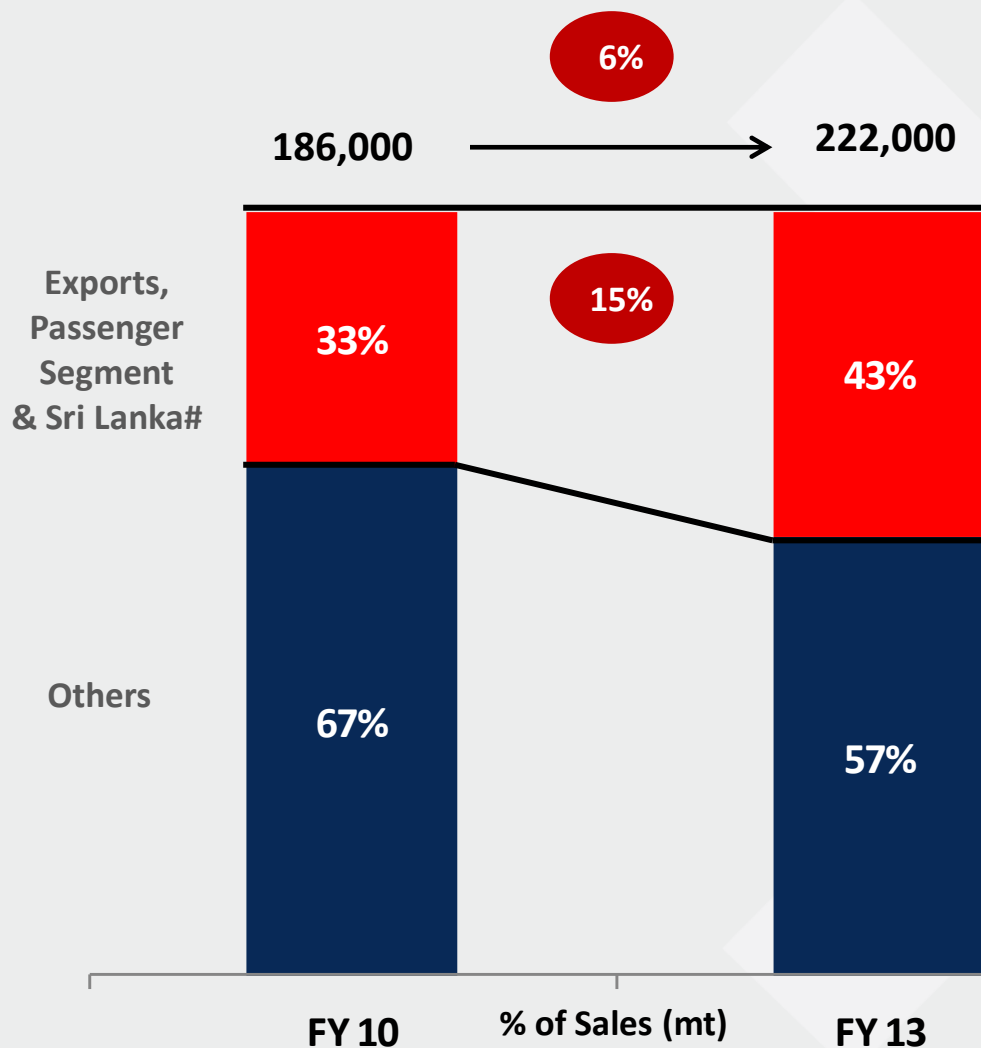


Exports doubled in the last 3 years with CAGR of 32%



# Growing Profitable markets and product mix

3 yr CAGR %

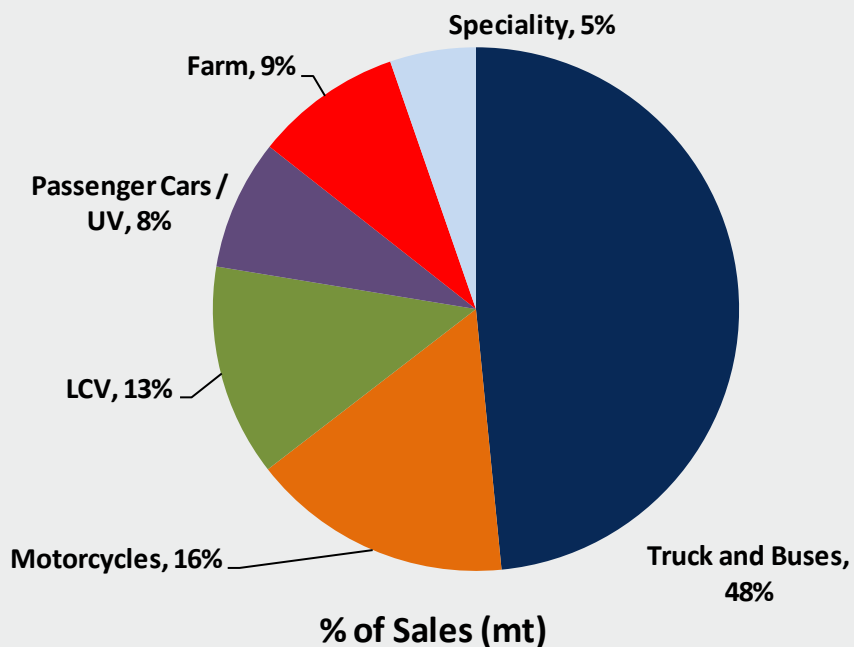


## “Strategic Focus Areas”

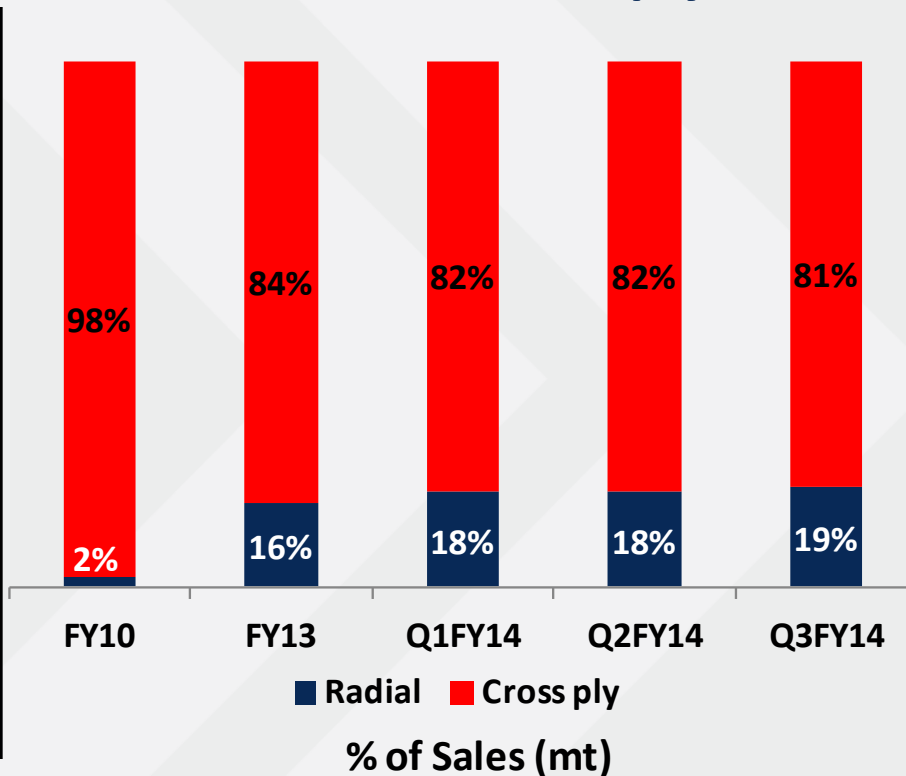
- Higher margin business
- Contributes 43% volumes compared to 33% in FY10
- Growing at higher rate of 15% CAGR
- Aspiration FY 17: 60% of sales & 80% of Operating profit by FY17

# CEAT : Product profile

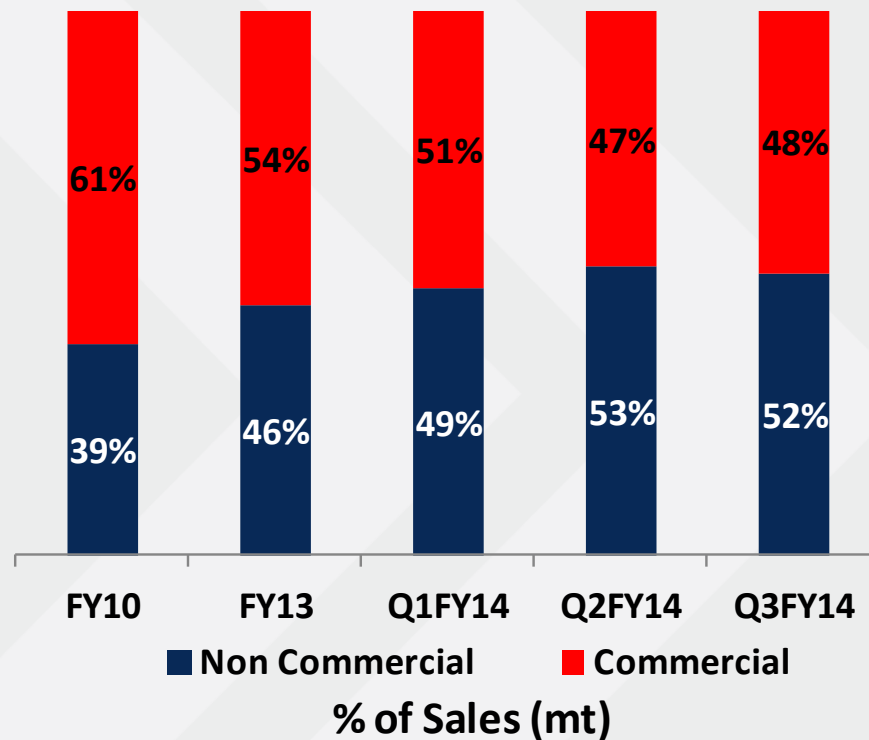
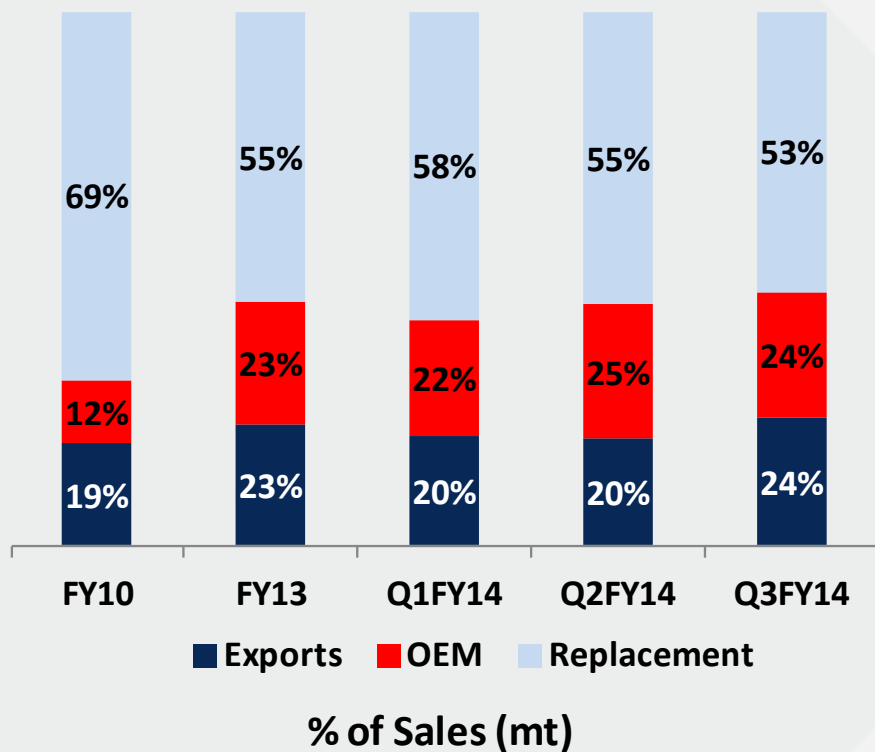
## Product break-up<sup>#</sup>



## Radial & Cross ply



# CEAT : Market segment





## V. CEAT Financials and Results Analysis

# CEAT Consolidated Q3 – Key Highlights

## Q3FY14 v/s Q3FY13 (Y-o-Y)

- Strong Volume growth 14%: India 16%
- EBITDA% up +260 bps at 11.5%
- PBT up from Rs 33 cr to Rs 98 cr
- Debt down by ~ Rs 142 cr

## YTD FY14 v/s YTD FY13

- Strong Volume growth 12% : India 12%, Sri Lanka 4%
- EBITDA% up +400 bps at 12.5%
- YTD EBITDA at Rs 506 cr, compared to Rs 310cr
- YTD Interest Rs 141cr compared to Rs 152 cr (Down by 11 cr)

Total D/E down to 1.1x compared to 1.7x YoY

Long Term D/E down to 0.3x compared to 0.7x YoY

## Key Business Updates

- Credit Rating Improvement from 'BBB' to 'A'
- Effie Award won for the "Best Ongoing TV Advertisement Campaign"
- Successful Motorcycle TV Advertisement Campaigns: Idiot Safe and Dhoom-3
- Increase in import duty of Natural Rubber from "20% or Rs.20 whichever is lower" to "20% or Rs.30 whichever is lower"



# CEAT India Q3 : QoQ Analysis

| Parameter            | Q2FY14         | Q3FY14         | QoQ             | Remarks                                         |
|----------------------|----------------|----------------|-----------------|-------------------------------------------------|
| <b>Net Sales</b>     | <b>1,263.4</b> | <b>1,375.5</b> | <b>8.9%</b>     | Strong volume growth (9%), Flat Realisations    |
| Raw Material         | 808.4          | 905.1          | 12.0%           | Rubber prices softened; other RM cost increased |
| Employee             | 75.0           | 78.3           | 4.5%            |                                                 |
| Other Expenses       | 232.2          | 248.1          | 6.9%            | Due to higher Ad spends & other expenses        |
| <b>EBITDA</b>        | <b>165.4</b>   | <b>154.3</b>   | <b>-6.7%</b>    |                                                 |
| <b>EBITDA %</b>      | <b>13.1%</b>   | <b>11.2%</b>   | <b>-190 bps</b> | Due to increase in Ad spends & other expenses   |
| Finance Cost         | 47.0           | 47.0           | 0.1%            |                                                 |
| Depreciation         | 20.0           | 20.4           | 1.6%            |                                                 |
| <b>Operating PBT</b> | <b>98.4</b>    | <b>86.9</b>    | <b>-11.7%</b>   |                                                 |
| Exceptional expense  | -              | -              | -               |                                                 |
| Non-Operating income | 11.3           | 4.0            | -64.6%          | Sri Lanka Dividend Income in Q2 - one time      |
| <b>PBT</b>           | <b>109.7</b>   | <b>90.9</b>    | <b>-17.1%</b>   |                                                 |
| <b>PAT</b>           | <b>76.0</b>    | <b>60.8</b>    | <b>-19.9%</b>   |                                                 |

# CEAT India Q3 : YoY Analysis

| Parameter            | Q3FY13         | Q3FY14         | YoY             | Remarks                                                  |
|----------------------|----------------|----------------|-----------------|----------------------------------------------------------|
| <b>Net Sales</b>     | <b>1,194.8</b> | <b>1,375.5</b> | <b>15.1%</b>    | Strong volume growth (16%), marginally lower realisation |
| Raw Material         | 828.2          | 905.1          | 9.3%            | Favorable RMC                                            |
| Employee             | 69.1           | 78.3           | 13.4%           | Due to increments                                        |
| Other Expenses       | 205.0          | 248.1          | 21.0%           | Due to increase on conversion cost & Ad spends           |
| <b>EBITDA</b>        | <b>101.8</b>   | <b>154.3</b>   | <b>51.5%</b>    |                                                          |
| <b>EBITDA %</b>      | <b>8.5%</b>    | <b>11.2%</b>   | <b>+270 bps</b> | <b>Improved mix and soft RMC</b>                         |
| Finance Cost         | 46.5           | 47.0           | 1.0%            |                                                          |
| Depreciation         | 19.9           | 20.4           | 2.2%            |                                                          |
| <b>Operating PBT</b> | <b>35.4</b>    | <b>86.9</b>    | <b>145.8%</b>   |                                                          |
| Exceptional expense  | 13.7           | -              | -               | VRS Expenses at Bhandup plant                            |
| Non-Operating income | 3.4            | 4.0            | 18.4%           |                                                          |
| <b>PBT</b>           | <b>25.1</b>    | <b>90.9</b>    | <b>262.6%</b>   |                                                          |
| <b>PAT</b>           | <b>16.9</b>    | <b>60.8</b>    | <b>259.3%</b>   |                                                          |

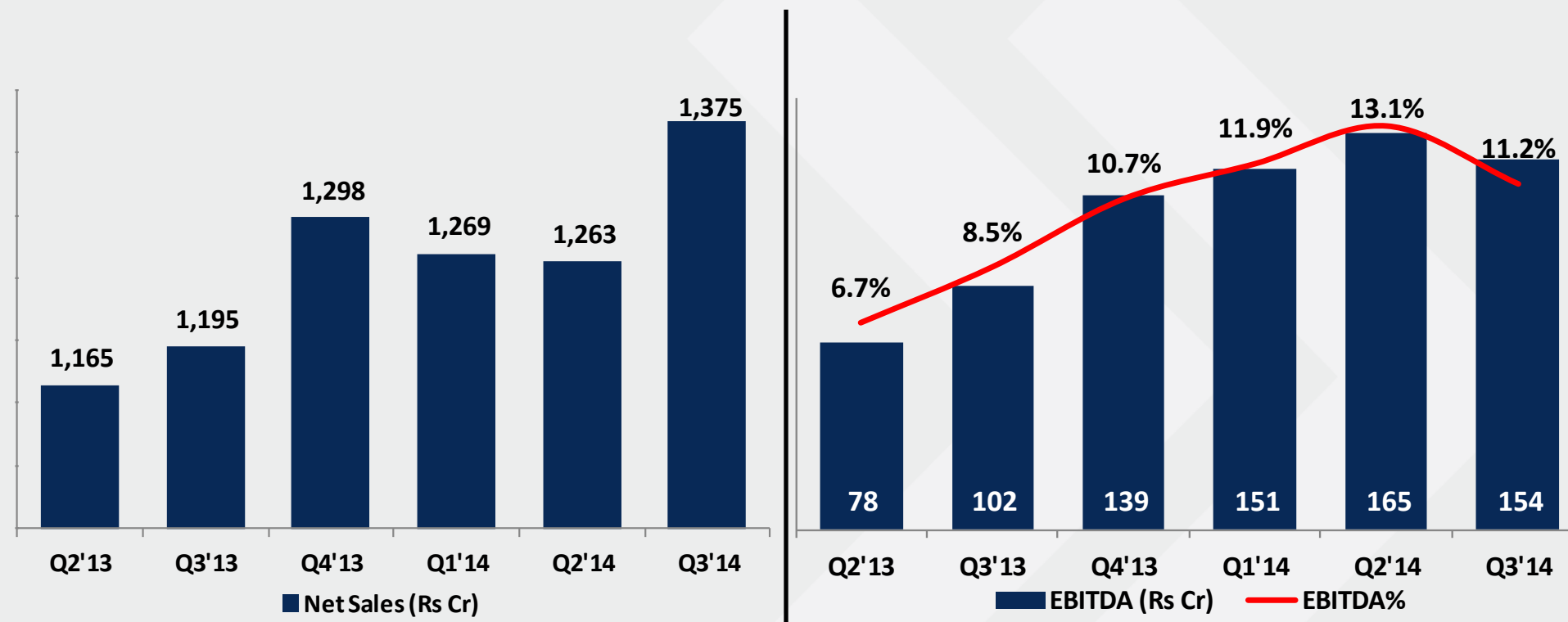


## CEAT India : Capital Employed and Cash flows trend

| Parameter         |                                 | Q2FY13 | Q3FY13 | Q4FY13 | Q1FY14 | Q2FY14 | Q3FY14 |
|-------------------|---------------------------------|--------|--------|--------|--------|--------|--------|
| Capital Structure | Debt                            | 1,322  | 1,230  | 1,012  | 971    | 1,230  | 1,092  |
|                   | Long Term                       | 500    | 477    | 422    | 370    | 310    | 276    |
|                   | Short Term                      | 822    | 753    | 590    | 602    | 920    | 816    |
|                   | Equity                          | 685    | 702    | 747    | 814    | 894    | 956    |
|                   | Capital Employed                | 2,007  | 1,932  | 1,758  | 1,786  | 2,124  | 2,048  |
| Cash Flows        | PAT + Depreciation              | 22     | 37     | 80     | 80     | 96     | 81     |
|                   | - Change in Working Capital     | 39     | 96     | 121    | (44)   | (329)  | 54     |
|                   | - CAPEX                         | (15)   | (14)   | (18)   | (21)   | (15)   | (23)   |
|                   | - Investment in Subs            | -      | -      | -      | -      | -      | -      |
|                   | - Conversion of Equity warrants | -      | -      | -      | -      | 13     | -      |
|                   | - Dividend                      | -      | -      | (16)   | -      | -      | -      |
|                   | Net Cash Accruals               | 33     | 91     | 218    | 10     | (229)  | 138    |
| Key Ratios        | Total Debt / Equity             | 1.9    | 1.8    | 1.4    | 1.2    | 1.4    | 1.1    |
|                   | Long Term Debt / Equity         | 0.7    | 0.7    | 0.6    | 0.5    | 0.3    | 0.3    |
|                   | Debt / EBITDA                   | 4.2    | 3.0    | 1.8    | 1.6    | 1.9    | 1.8    |
|                   | EBITDA / Interest               | 1.6    | 2.2    | 3.1    | 3.4    | 3.5    | 3.3    |



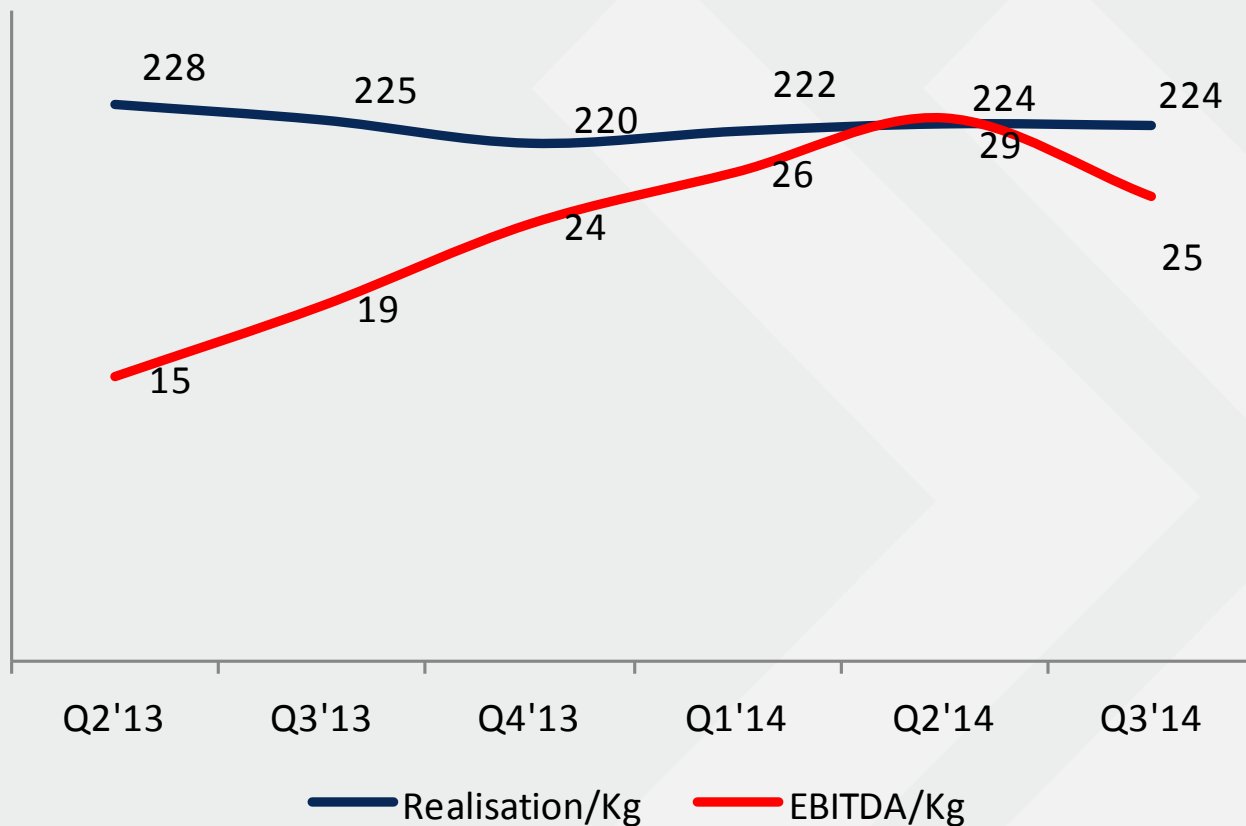
## CEAT India: Sales and EBITDA Trend Last 6 Quarters



Consistent improvement in margins and operating profits



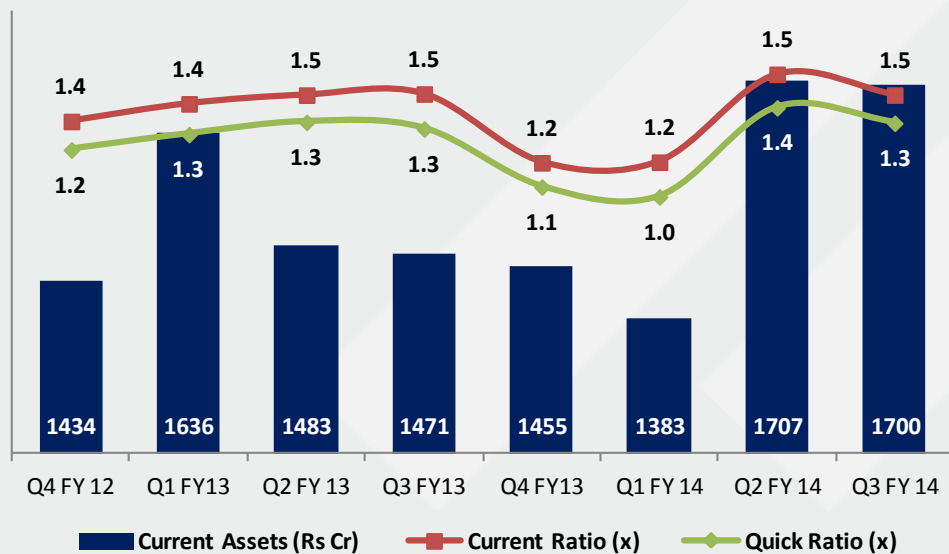
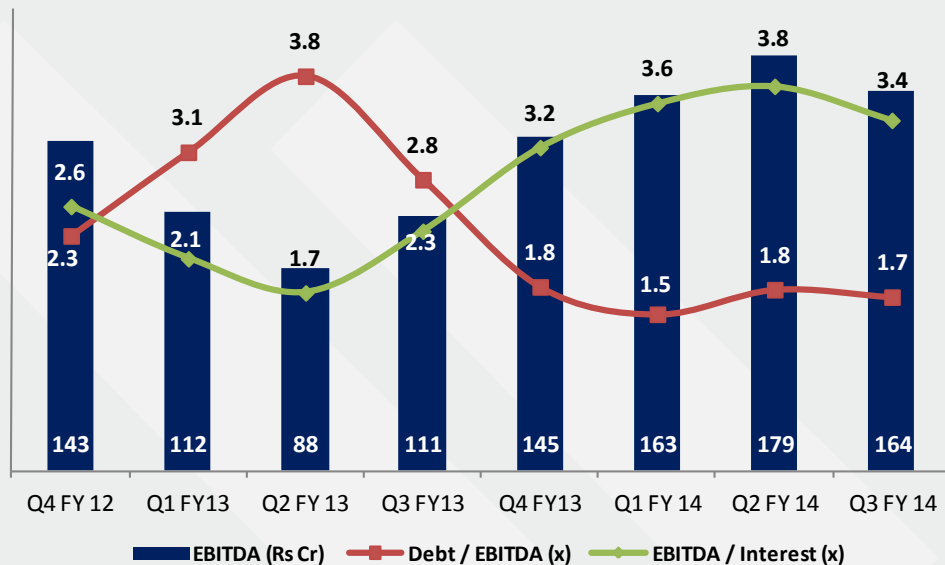
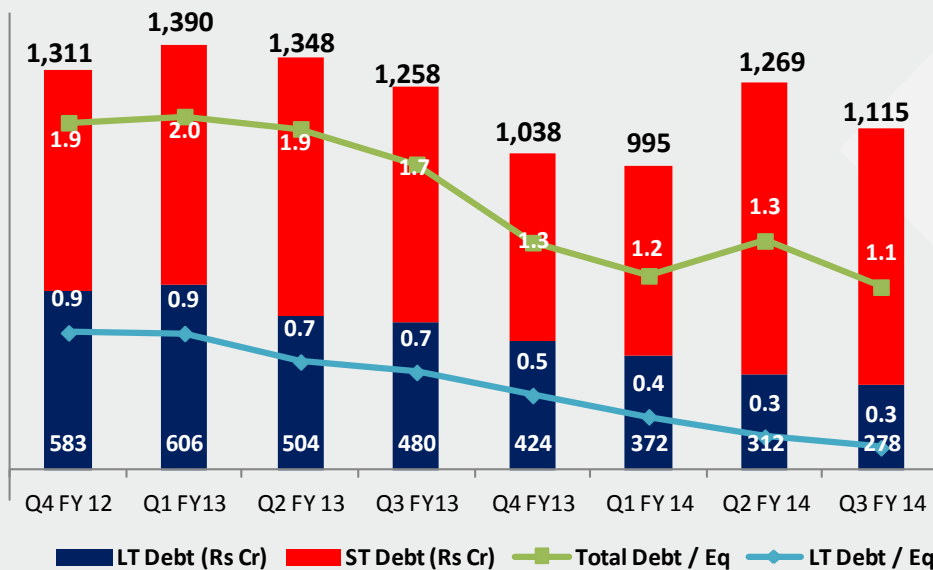
## CEAT India: Realization and EBITDA Trend



- Combination of market strategies and internal efficiencies resulting in steady performance for last 6 Quarters



# Significant improvement in Debt Profile



# CEAT Sri Lanka : Q3 & YTD Analysis

| Parameter           | Rs cr  |        |        |        |        |
|---------------------|--------|--------|--------|--------|--------|
|                     | Q3FY13 | Q2FY14 | Q3FY14 | YTD 13 | YTD 14 |
| Net Sales           | 101.7  | 121.0  | 112.5  | 300.9  | 344.7  |
| EBIDTA              | 17.4   | 27.9   | 22.1   | 49.8   | 76.2   |
| Finance Cost        | 1.6    | 1.1    | 1.0    | 5.2    | 3.3    |
| Depreciation        | 1.2    | 1.6    | 1.8    | 3.7    | 4.9    |
| Operating PBT       | 14.6   | 25.2   | 19.4   | 41.0   | 68.0   |
| Exceptional expense | -      | -      | -      | -      | -      |
| PBT                 | 14.6   | 25.2   | 19.4   | 41.0   | 68.0   |
| PAT                 | 10.6   | 18.9   | 14.9   | 29.5   | 50.9   |
| EBITDA %            | 17.1%  | 23.1%  | 19.7%  | 16.6%  | 22.1%  |
| Volumes (mt)        | 4,150  | 4,260  | 4,060  | 12,100 | 12,600 |

# CEAT Consolidated : Q3 & YTD Analysis

| Parameter         | Rs cr   |         |         |         |         |
|-------------------|---------|---------|---------|---------|---------|
|                   | Q3FY13  | Q2FY14  | Q3FY14  | YTD 13  | YTD 14  |
| Net Sales         | 1,239.0 | 1,318.8 | 1,428.2 | 3,675.6 | 4,063.9 |
| Growth (%)        | 15.3%   | 8.3%    |         | 10.6%   |         |
| EBITDA            | 110.6   | 179.4   | 164.3   | 310.0   | 506.5   |
| Growth (%)        | 48.6%   | -8.4%   |         | 63.4%   |         |
| EBITDA (%)        | 8.9%    | 13.6%   | 11.5%   | 8.4%    | 12.5%   |
| PAT               | 22.4    | 76.6    | 67.0    | 55.3    | 209.4   |
| EPS (Rs.) (Basic) | 1.1     | 21.6    | 18.6    | 9.6     | 59.4    |
| Net Worth         | 730     | 954     | 1,019   | 730     | 1,019   |
| Debt              | 1,257   | 1,269   | 1,115   | 1,257   | 1,115   |
| D/E (x)           | 1.7     | 1.3     | 1.1     | 1.7     | 1.1     |
| No of shares (cr) | 3.4     | 3.6     | 3.6     | 3.4     | 3.6     |
| B/V (Rs.)         | 213     | 265     | 283     | 213     | 283     |



THANK YOU

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